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“I don’t think we should hold the rupee at a level that is unsustainable. That just means wasting our foreign exchange reserves, and we will need them at some point...”



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“The import cover with RBI at about 9.7 months is robust and assuring. We think increased tolerance towards stronger USD along with measures like FX buy-sell swap are likely to help”

fell by 3.1%, the Japanese Yen by 7.3%, the Singapore dollar by 4.8%, and the Philippine Peso by 3.8%.

Sahai expects the rupee to depreciate further against the dollar in case a full-fledged tariff war ensues. “The rupee’s fall may continue till March but should settle after that and start to improve,” he says.

WHAT NEXT

Can the rupee depreciate to 100 to the dollar? For FY26, the RBI has assumed that the rupee will average 87 against the US dollar, which was the level at the time of the Monetary Policy Committee meeting in February.

RBI data shows that the real effective exchange rate (REER) of the rupee soared to 108.14 in November, indicating that the rupee was overvalued by 8.1%. However, it has since recovered to 107.2 in December. The REER is an inflation-adjusted trade-weighted average value of the domestic currency in terms of its trading

partners’ currencies and is used by central banks and international institutions as an indicator of external competitiveness. This implies that the currency may need to fall further.

WHERE EXACTLY IS THE RUPEE HEADED?

On a year-to-date basis, the Indian rupee depreciated 1.25% to 86.62 against the dollar on February 14, 2025. On the other hand, the Russian Ruble and Brazilian Real strengthened nearly 20% and 8%, respectively.

A report by Moody’s Ratings highlighted that the rupee has been one of the weakest performing currencies in the region. “While the rupee has depreciated by only around 5% in the last two years, it has fallen over 20% since January 2020, making it one of the weakest-performing currencies in South and Southeast Asia,” it said.

When the rupee started depreciating late last year and crossed the 84 mark in the beginning of October, it was expected to settle around 86; in fact, many felt it would take a while for the currency to breach the 87 mark. But it crossed that barrier on February 3, after Trump announced fresh tariffs of 25% on Canada and Mexico. There was also an additional 10% levy on Chinese imports to the US. Trump’s tariff policies have spooked most global markets, and the dollar has continued to strengthen. (See Graphic: Falling rupee)

DBS Bank has maintained its forecast for the rupee to rise to 88.8 by mid-2025 on the US dollar’s haven status from Trump’s tariffs and the US Fed delaying rate cuts to the second half of 2025.

On January 16, Barclays revised its forecast saying it expects the exchange rate to reach 89.5 by the year-end. “We think INR risks are on the downside should the CNY (Chinese Yuan) depreciate more than expected. INR overvaluation, a growing RBI forward book, and broad USD strength, remain factors likely to [make] the INR weaker,” said the report.

Anubhuti Sahay, Head of India Economic Research at British multinational bank Standard Chartered Bank, says the firm sees the US dollar’s strength as a dominant theme in 2025. “While the first half can see softness in the US dollar on likely delays in implementation of tariff and trade policies, the USD is expected to strengthen once these policies take firmer shape. Additionally, US exceptionalism and the consequent higher US rates are likely to keep USD on a stronger footing for most of 2025,” she says.

The bank maintains its forecast of INR at 87.75 by December this year. “While increased uncertainty and volatility in dollar can lead to periods of overshooting